INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Rocket Lab

NASDAQ : RKLB · Young-Company DCF (Damodaran)

22 July 2026 · the qualitative

$71.55

$41.36B mkt cap · 578M sh · $1.48B cash, zero debt · >$2.2B backlog (Q1'26); Pending ~$8B Iridium acquisition — mid-2027 close; Neutron first launch targeted Q4 2026

THE CENTRAL QUESTION

Does ~$41B (~45x FY26E revenue) — plus a pending ~$8B debt-and-stock purchase of Iridium's constellation — price a realistic path to a space prime when the second act is bought, not originated?

Rocket Lab has halved to ~$41B at $71.55 — ~68x trailing sales, ~45x the ~$900M FY26 run-rate — while the business accelerated (Q1'26 revenue +64%, backlog >$2.2B). And the second act changed form: rather than originate a constellation, RKLB agreed to buy one — the pending ~$8B Iridium acquisition (mid-2027 close; $871M revenue, ~$495M operational EBITDA, 2.6M subscribers), funded by a $3.6B bridge plus up to ~44M collared shares. The DCF asks whether a halved price plus a leveraged, dilutive constellation purchase changes the answer. The finding: it narrows the gap, not the verdict — the weighted sits ~38% below spot; the market still prices near-certain success.

PROBABILITY-WEIGHTED EXPECTED VALUE

$44.23 expected fair value today

-38.2% vs spot $71.55

FORWARD COMPOUNDED VALUE

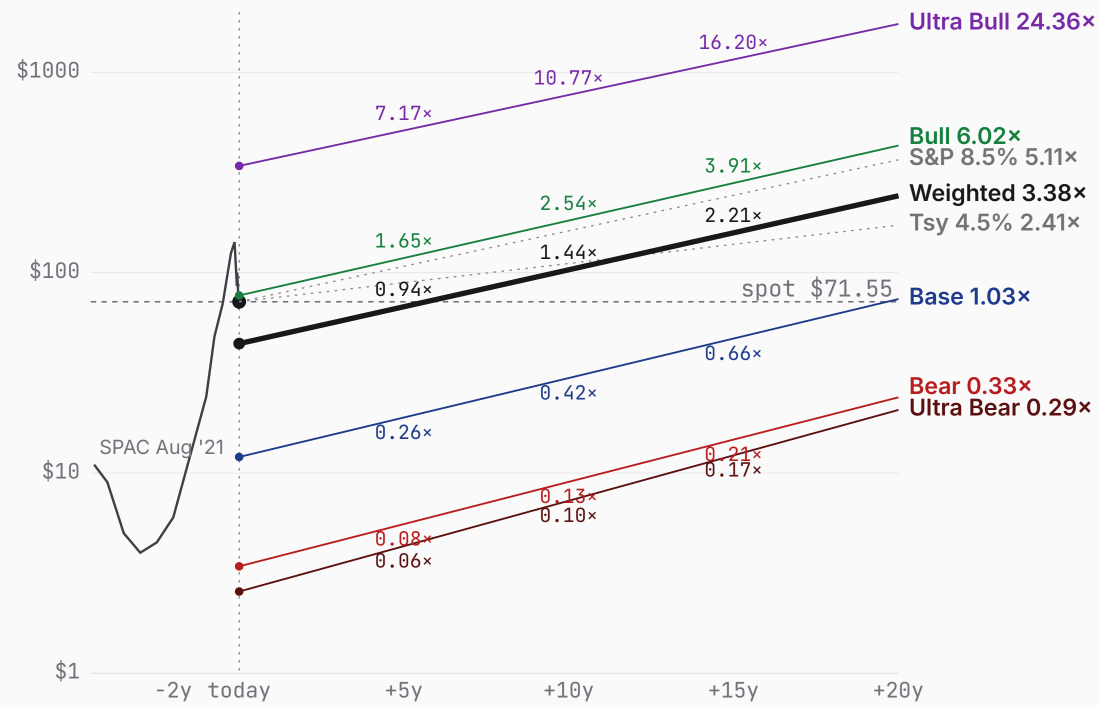
+5y	+10y	+15y	+20y
$67.60	$103.36	$158.09	$241.89
0.94× spot	1.44× spot	2.21× spot	3.38× spot

WEIGHTING RATIONALE

Ultra Bear 10% Neutron fails; Iridium deal breaks; defensive dilution.
Bear 25% Neutron slips; deal closes at max collar dilution + ~$5B debt.
Base 35% Neutron works; #2 prime + a value-neutral bought constellation.
Bull 24% Reusable Neutron scales; the constellation leg arrives by purchase.
Ultra Bull 6% Next-gen constellation on acquired spectrum; ~$212B smaller-SpaceX.

Bull (24%) + Ultra Bull (6%) together contribute $38.91 — 88% of the $44.23 expected value despite 30% combined probability. Today's spot ($71.55) sits 62% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$2.56	$3.42	$12.02	$76.90	$340.98
-96.4% vs spot	-95.2% vs spot	-83.2% vs spot	+7.5% vs spot	+376.6% vs spot
TAM 1.1% P(fail) 25% S2C 1.7 Prob 10%	TAM 3.3% P(fail) 12% S2C 1.9 Prob 25%	TAM 5.8% P(fail) 5% S2C 2.1 Prob 35%	TAM 13.8% P(fail) 3% S2C 2.4 Prob 24%	TAM 30.4% P(fail) 2% S2C 2.5 Prob 6%
Neutron fails; Iridium breaks; SpaceX runs away.	Neutron slips; Iridium closes at max dilution.	Neutron works; #2 prime + bought constellation.	Neutron scales; constellation act bought, not built.	Next-gen constellation on Iridium spectrum; smaller-SpaceX.

AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO | LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Rocket Lab scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 10% Bear 25% Base 35% Bull 24% Ultra Bull 6% · Weighted expected $44.23 (-38.2% vs spot)

ULTRA BEAR $2.56

-96.4% vs spot

Probability 10%

Neutron fails; Iridium breaks; SpaceX runs away.

WHY 10%

The compound bear: a Neutron failure plus a broken Iridium deal plus persistent thin margins. Aerospace hardware is unforgiving and SpaceX's cost curve is brutal. The deal-break lives here because it is endogenous — the same world that kills Neutron collapses the collared stock consideration. 25% within-scenario failure probability reflects capital hunger after a failed flagship program, cushioned by $1.48B cash.

WHAT HAPPENS

The compound failure: Neutron's program stalls for good, and the Iridium deal breaks endogenously — the collared stock consideration collapses through its $67.50 floor, the bridge financing wobbles, and Iridium holders walk. RKLB stays a sub-scale small-lift + components shop while satellite primes in-source and margins stay structurally thin.

The completed ATM leaves $1.48B of cash, so the floor is a slow burn-down, not sudden insolvency — but defensive raises at collapsed prices (~$30) still dilute, and by FY35 revenue is ~$1.4B at ~7-8% operating margin. With a 25% within-scenario chance of restructuring, expected value sits near the distress floor.

BEAR $3.42

-95.2% vs spot

Probability 25%

Neutron slips; Iridium closes at max dilution.

WHY 25%

Neutron works but underwhelms on cadence/cost; Space Systems grows steadily without becoming a prime; the acquisition closes on bear-case terms (maximum collar dilution + ~$5B debt). 12% within-scenario failure probability — the leverage is real but Iridium's recurring EBITDA covers it. The 25% weight reflects this as a very plausible 'competent but capped' outcome.

WHAT HAPPENS

Neutron flies late and at low cadence; RKLB remains the credible #2 but never escapes SpaceX's shadow on cost or volume. The Iridium deal still closes mid-2027 — the approvals do not depend on Neutron — but on the worst terms: with the stock below the $67.50 collar floor, Iridium holders receive the maximum 0.40 exchange ratio (~44M new shares) and RKLB carries ~$5B of deal debt.

Iridium's steady ~$0.45B of annual pre-tax free cash flow services the debt and cushions the downside, but a low-growth constellation bought at ~16x operational EBITDA with depressed stock is mildly value-destructive here. The DCF lands ~$3.30 — the 'good company, wrong price' world, now with leverage.

BASE $12.02

-83.2% vs spot

Probability 35%

Neutron works; #2 prime + bought constellation.

WHY 35%

Requires the least faith: Neutron works (not dominates), Space Systems keeps compounding, margins reach an aerospace-prime ~18%, and a well-telegraphed merger closes. No SpaceX-toppling assumption. 5% failure probability given $1.48B cash, >$2.2B backlog, and revenue diversification. 35% weight as the central outcome.

WHAT HAPPENS

The modal path: Neutron certifies and reaches meaningful cadence, RKLB consolidates the clear #2 launch position, and Space Systems compounds ~25% to ~$5.9B organic revenue by FY35 at an ~18% mature operating margin. Iridium closes mid-2027 at roughly today's collar ratio (~42M new shares) and layers ~$1B of slow-growing, ~50%-margin constellation revenue on top — ~$7.0B combined.

At ~16x operational EBITDA funded with debt and depressed stock, the purchase is roughly value-neutral in this world — its cash stream about pays for its debt and dilution. DCF ~$12.30. Even this constructive base sits ~83% below today's $71.55 — the market is paying for a far larger outcome than a successful-but-rational base delivers.

BULL $76.90

+7.5% vs spot

Probability 24%

Neutron scales; constellation act bought, not built.

WHY 24%

A chain: Neutron reusability works AND captures share AND Space Systems scales — with the constellation leg de-risked from 'build one' to 'integrate the one just bought' (conditional on close, not on invention). That de-risking is why two points move here from the ultra-bull: 22% to 24%. Still conjunctive on execution.

WHAT HAPPENS

The bull: Neutron's reusability lands RKLB real medium-lift share, Space Systems becomes a top-tier prime, and the constellation leg — previously the speculative build-your-own story — arrives by purchase: Iridium's operating network and licensed L-band spectrum, modernized and expanded, make recurring service revenue real from the close. Revenue compounds toward ~$16.5B by FY35 at a ~32% blended margin.

One conjunctive leg is bought rather than built, conditional only on the close; the offsets are ~$5B of deal debt and ~33M collared shares. DCF ~$79 — barely above today's $71.55. Even the bull is roughly fully priced, which is the entry-price story in one line.

ULTRA BULL $340.98

+376.6% vs spot

Probability 6%

Next-gen constellation on Iridium spectrum; smaller-SpaceX.

WHY 6%

Tail of tails, re-anchored: every bull condition hits AND the Iridium platform becomes the springboard for a next-generation constellation at platform scale. The origination gate weakened — management committed ~$8B, a $3.6B bridge, and collared equity to a mature narrowband network just as Starship V3 moved to operational Starlink V3 deployment — so the tail trims from 8% to 6%, with the freed weight moved to the de-risked bull.

WHAT HAPPENS

The re-anchored tail: the originate-a-constellation story is superseded — management bought its second act. Here RKLB integrates Iridium and scales a next-generation data/broadband constellation on the acquired licensed global L-band spectrum and 2.6M-subscriber base, on top of a vertically-integrated launch+systems prime. Revenue reaches ~$36.5B by FY35 at a ~38% blended margin, with a platform terminal gated on the spectrum cornered resource.

DCF ~$348/share — equity ~$212B, a credible smaller-SpaceX (~5.8x sales, vs SpaceX's ~23x private mark, most of which is Starlink). The exponential tail still clears spot by ~4.9x — but it now requires flawless integration of an $8B leveraged acquisition AND a next-gen build-out, against Starship V3's operational Starlink deployment.

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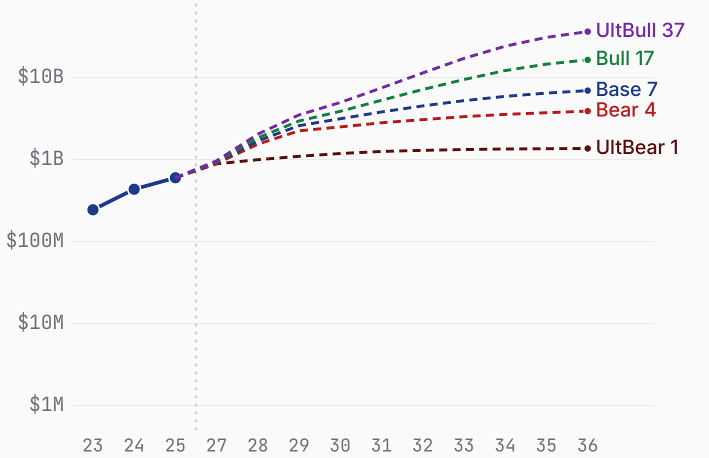
22 July 2026 · the snapshot

Rocket Lab business snapshot

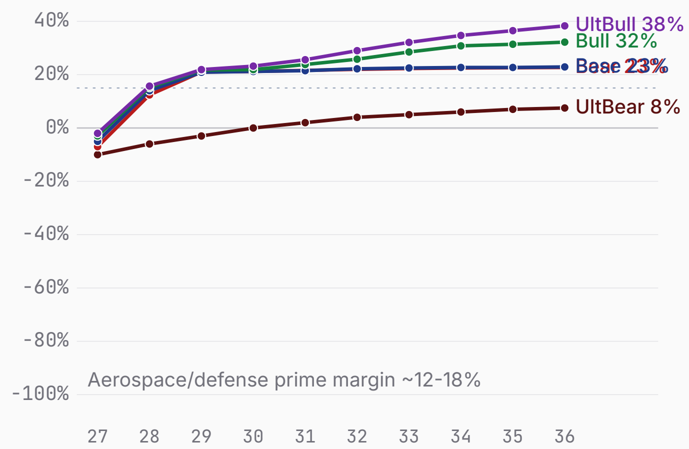
Bear $3.42 Base $12.02 Bull $76.90

FY23-FY25 history + FY26-FY35 scenario projections · fiscal years end Dec 31 · 10-K FY25, Q1'26 release

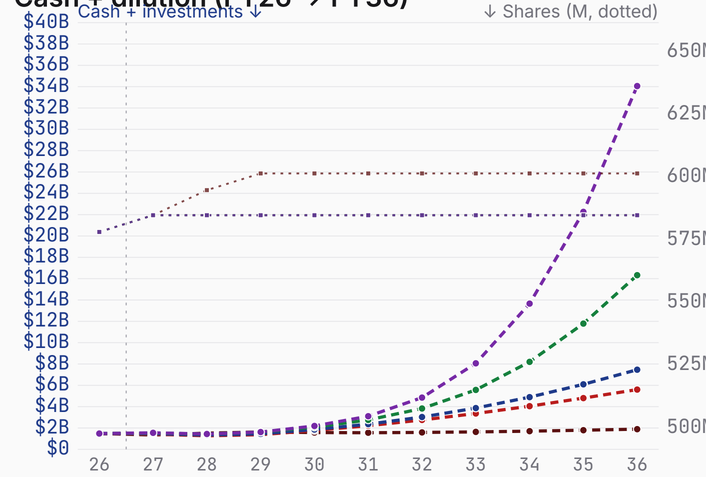
Revenue — history + scenarios to FY36 (log)



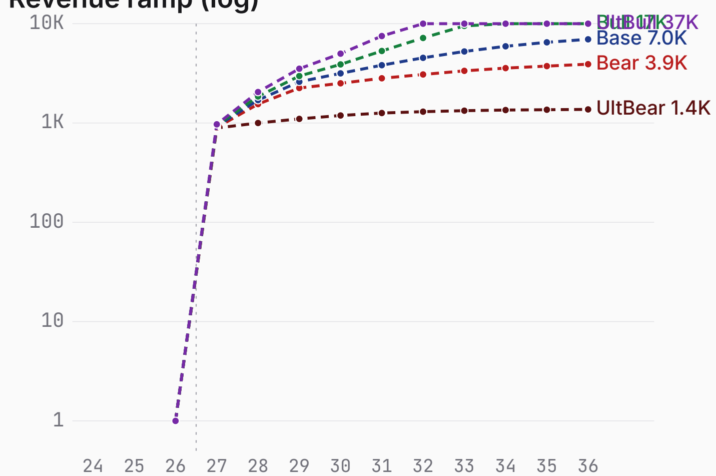
Path to profitability — op margin (FY27→FY36)



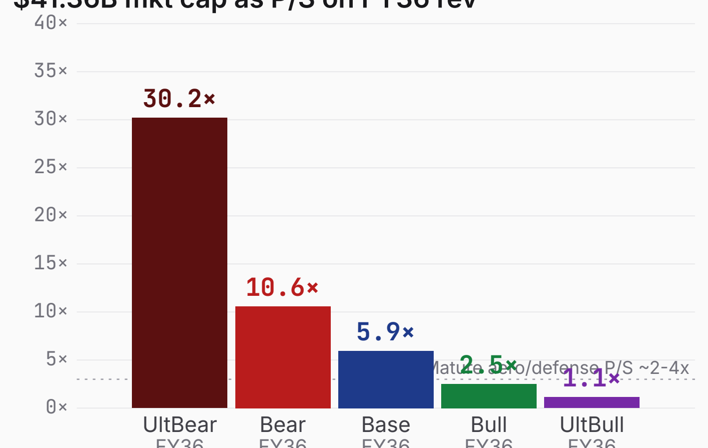
Cash + dilution (FY26 → FY36)



Revenue ramp (log)

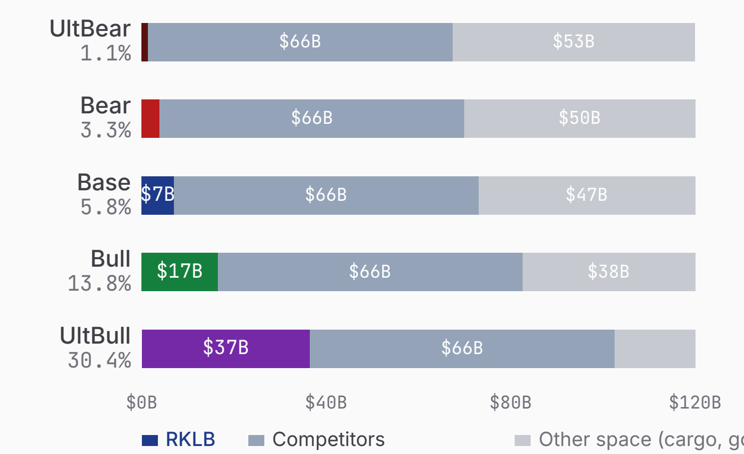


$41.36B mkt cap as P/S on FY36 rev



At ~68x trailing sales (~45x FY26E), every scenario implies massive multiple compression.

$120B FY35 launch + space-systems TAM — RKLB share



Sources: RKLB FY2025 results (Feb 2026), Q1'26 release (May 2026), Iridium merger announcement (Jun 2026), company guidance. FCF is NOL-shielded pre-tax over the explicit window (documented simplification). Close scenarios carry Iridium pro-forma from mid-2027. TAM: launch + space-systems serviceable slice, ~$120B by FY35.

Rocket Lab 7 Powers · the moat, scored

Bear $3.42 Base $12.02 Bull $76.90

Arena. Space launch + space systems — Rocket Lab (Electron small-lift, Neutron medium-lift reusable coming, vertically-integrated Space Systems) vs SpaceX (dominant), Firefly, Stoke Space, ULA/Blue Origin; the race to become a vertically-integrated space prime.

POWER ORIGINATION
origination window: open

POWER ORIGINATION · 7 POWERS

Scale Economies — Electron cadence builds a learning curve; Neutron reusability could reset cost, but it is pre-launch.

Network Economies — Constellation/data flywheel — now acquire-and-integrate via the pending Iridium deal (mid-2027 close); scores 1 until it closes and integrates.

Counter-Positioning — Vertically integrated launch + components + future constellation — few new-space peers can replicate the full stack.

Switching Costs — Space Systems components get designed-in (some lock-in); launch is largely contestable.

Branding — The credible #2 launch brand after SpaceX; strong gov/defense trust.

Cornered Resource · thesis leans here — Launch sites/licenses, component portfolio, Beck-led talent, Neutron IP — plus, pending close, Iridium's licensed global L-band spectrum and 2.6M-subscriber constellation, a textbook cornered resource.

Process Power — Electron reliability + manufacturing learning curve; a genuine, if narrow, process edge.

THE RACE · NAMED RIVALS

SpaceX — $ tens of B; Starlink cash flow
~45% terminal share · Falcon 9 cadence + Starship + Starlink — the gravity well of the industry.

ULA / Blue Origin — Boeing/LM + Bezos
~12% terminal share · Vulcan / New Glenn; legacy contracts + Bezos capital.

Firefly Aerospace — public; funded
~8% terminal share · Alpha + Elytra + MLV; lunar lander; recently public.

Stoke Space — venture-backed; NSSL Lane 1 awardee
~5% terminal share · Nova stage-1 proto-qual complete (Jun 2026), end-2026 debut target; fully reusable from day one.

LEAD / LAG · FALSIFIERS

Medium-lift reusable launch	Neutron pre-launch vs Falcon 9 + Starship	LAGGING
Launch cadence (per yr)	~24-26 pace (Electron, 2026) vs >100 (SpaceX)	LAGGING
Space Systems revenue scale	leading new-space vs fragmented	LEADING

COMPETITIVE READ

Rocket Lab is assembling a vertically-integrated space-prime position — the credible #2 to SpaceX — with record Electron cadence, a >$2.2B backlog, an NSSL Lane 1 seat (ceiling raised $5.6B to $17B; a $266M USAF award), and now a pending purchase of Iridium's L-band constellation rather than an originated one. But Neutron is unproven (Q4'26 debut holds with slip risk after the July full-duration hot-fire), and Starship V3 has entered operational Starlink deployment — the cost-and-scale gravity well the whole bull case must still clear.

Rocket Lab show your work

Bear $3.42 Base $12.02 Bull $76.90 · Weighted $44.23 (-38.2%)

ULTRA BEAR $2.56

ASSUMPTIONS

TAM Year-10 ($B)	120
Mature share (%)	1.1
Mature op margin (%)	8
Sales-to-capital	1.7
Terminal WACC (%)	11.0
Terminal growth (%)	2.5
P(failure) (%)	25
Scenario probability (%)	10

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.89	-10%	-0.26	-0.23
FY28	1.00	-6%	-0.13	-0.10
FY29	1.10	-3%	-0.09	-0.06
FY30	1.19	+0%	-0.05	-0.03
FY31	1.26	+2%	-0.02	-0.01
FY32	1.30	+4%	+0.03	+0.01
FY33	1.33	+5%	+0.05	+0.02
FY34	1.35	+6%	+0.07	+0.03
FY35	1.36	+7%	+0.09	+0.03
FY36	1.37	+8%	+0.10	+0.03

Σ PV explicit FCF	-0.31
+ PV terminal (g 2.5%)	0.38

EQUITY BUILD · $B & PER SHARE

Operating EV	$0.07B
+ Cash & investments	$1.48B
= Equity value	$1.55B
Raised over period	$0.97B
Dilution by FY36	+4%
FY36 shares (M)	601
DCF per share	$2.58
× (1−P_fail) [75%]	$1.94
+ P_fail × distress [25% × $2.50]	$0.63
= Expected per share	**$2.56**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$4.31	$7.27	$12.25	$20.64
0.06×	0.10×	0.17×	0.29×

BEAR $3.42

ASSUMPTIONS

TAM Year-10 ($B)	120
Mature share (%)	3.3
Mature op margin (%)	23
Sales-to-capital	1.9
Terminal WACC (%)	10.2
Terminal growth (%)	3.0
P(failure) (%)	12
Scenario probability (%)	25

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.90	-7%	-0.22	-0.20
FY28	1.55	+12%	-0.15	-0.12
FY29	2.25	+21%	+0.10	+0.07
FY30	2.51	+21%	+0.40	+0.25
FY31	2.82	+22%	+0.45	+0.26
FY32	3.08	+22%	+0.54	+0.28
FY33	3.35	+22%	+0.60	+0.28
FY34	3.57	+23%	+0.69	+0.29
FY35	3.74	+23%	+0.76	+0.29
FY36	3.91	+23%	+0.80	+0.28

Σ PV explicit FCF	+1.68
+ PV terminal (g 3.0%)	3.94

EQUITY BUILD · $B & PER SHARE

Operating EV	$5.62B
+ Cash − total debt	-$3.52B
= Equity value	$2.10B
Raised over period	$0.47B
Dilution by FY36	+9%
FY36 shares (M)	629
DCF per share	$3.34
× (1−P_fail) [88%]	$2.94
+ P_fail × distress [12% × $4.00]	$0.48
= Expected per share	**$3.42**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$5.56	$9.03	$14.68	$23.86
0.08×	0.13×	0.21×	0.33×

BASE $12.02

ASSUMPTIONS

TAM Year-10 ($B)	120
Mature share (%)	5.8
Mature op margin (%)	23
Sales-to-capital	2.1
Terminal WACC (%)	9.5
Terminal growth (%)	3.5
P(failure) (%)	5
Scenario probability (%)	35

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.93	-5%	-0.20	-0.18
FY28	1.70	+14%	-0.13	-0.10
FY29	2.60	+21%	+0.12	+0.08
FY30	3.16	+21%	+0.40	+0.26
FY31	3.82	+22%	+0.51	+0.30
FY32	4.53	+22%	+0.67	+0.36
FY33	5.25	+23%	+0.84	+0.41
FY34	5.92	+23%	+1.02	+0.45
FY35	6.49	+23%	+1.20	+0.48
FY36	6.96	+23%	+1.37	+0.50

Σ PV explicit FCF	+2.57
+ PV terminal (g 3.5%)	8.69

EQUITY BUILD · $B & PER SHARE

Operating EV	$11.26B
+ Cash − total debt	-$3.52B
= Equity value	$7.74B
Raised over period	$0.47B
Dilution by FY36	+8%
FY36 shares (M)	627
DCF per share	$12.34
× (1−P_fail) [95%]	$11.72
+ P_fail × distress [5% × $6.00]	$0.30
= Expected per share	**$12.02**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$18.92	$29.79	$46.89	$73.82
0.26×	0.42×	0.66×	1.03×

BULL $76.90

ASSUMPTIONS

TAM Year-10 ($B)	120
Mature share (%)	13.8
Mature op margin (%)	32
Sales-to-capital	2.4
Terminal WACC (%)	9.0
Terminal growth (%)	5.0
P(failure) (%)	3
Scenario probability (%)	24

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.95	-3%	-0.17	-0.16
FY28	1.85	+15%	-0.09	-0.08
FY29	2.97	+22%	+0.18	+0.13
FY30	3.89	+22%	+0.47	+0.31
FY31	5.31	+24%	+0.67	+0.41
FY32	7.18	+26%	+1.07	+0.59
FY33	9.50	+28%	+1.74	+0.87
FY34	12.22	+31%	+2.63	+1.20
FY35	14.64	+31%	+3.59	+1.50
FY36	16.50	+32%	+4.54	+1.75

Σ PV explicit FCF	+6.53
+ PV terminal (g 5.0%)	45.81

EQUITY BUILD · $B & PER SHARE

Operating EV	$52.34B
+ Cash − total debt	-$3.52B
= Equity value	$48.82B
Raised over period	$0.47B
Dilution by FY36	+7%
FY36 shares (M)	618
DCF per share	$79.00
× (1−P_fail) [97%]	$76.63
+ P_fail × distress [3% × $9.00]	$0.27
= Expected per share	**$76.90**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$118.32	$182.05	$280.11	$430.98
1.65×	2.54×	3.91×	6.02×

ULTRA BULL $340.98

ASSUMPTIONS

TAM Year-10 ($B)	120
Mature share (%)	30.4
Mature op margin (%)	38
Sales-to-capital	2.5
Terminal WACC (%)	8.5
Terminal growth (%)	6.0
P(failure) (%)	2
Scenario probability (%)	6

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.97	-2%	-0.17	-0.15
FY28	2.05	+16%	-0.11	-0.09
FY29	3.52	+22%	+0.18	+0.14
FY30	4.99	+23%	+0.57	+0.39
FY31	7.51	+26%	+0.92	+0.57
FY32	11.43	+29%	+1.75	+0.99
FY33	17.20	+32%	+3.21	+1.66
FY34	24.22	+35%	+5.60	+2.66
FY35	31.04	+37%	+8.60	+3.76
FY36	36.50	+38%	+11.80	+4.75

Σ PV explicit FCF	+14.66
+ PV terminal (g 6.0%)	201.30

EQUITY BUILD · $B & PER SHARE

Operating EV	$215.96B
+ Cash − total debt	-$3.52B
= Equity value	$212.44B
Raised over period	$0.47B
Dilution by FY36	+6%
FY36 shares (M)	611
DCF per share	$347.69
× (1−P_fail) [98%]	$340.74
+ P_fail × distress [2% × $12.00]	$0.24
= Expected per share	**$340.98**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$512.72	$770.95	$1,159.24	$1,743.11
7.17×	10.77×	16.20×	24.36×

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Rocket Lab People · Opportunity · Context · Deal

Bear $3.42 Base $12.02 Bull $76.90

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Sir Peter Beck · founder-led — 13 yrs in seat

9% insider ownership

HIGH key-person risk

Capital allocation (realized)
Vertical-integration roll-up (Space Systems): six closed tuck-ins — Sinclair, ASI, Planetary Systems, SolAero ($80M), Geost ($275M), Mynaric ($155M) — funded partly by a $355M 4.25% 2029 convertible (2024). Step-change Jun 2026: the ~$8B Iridium agreement ($27 cash + collared stock, $3.6B bridge) moves to leveraged large-scale M&A. No buyback; share count grows with organic + deal dilution.

Incentive alignment
Equity-heavy comp (2024 ~$20M, ~97% equity). March 2026: Beck cut salary to $1, waived bonus, and forfeited all unvested RSUs. July 6-8, 2026: his trust sold 3.28M shares (~$286M) under a 10b5-1 plan adopted 2026-03-27 (up to 5M shares), two trading days after the Iridium announcement — alignment rests on the remaining ~9% stake. RSUs time-based (no confirmed TSR/PSU program).

GOVERNANCE FLAGS

- SPAC origin (Vector Acquisition, 2021)
- CEO + Chairman combined (lead independent director)
- Series A founder control-continuity preferred (economically pass-through)
- majority-independent board (single insider)

> **PEOPLE READ**
> Founder-owner-operator (~9%, salary cut to $1 in 2026) with a majority-independent board — still strongly aligned; the offsets are acute key-person concentration (Beck is CEO / Chair / de-facto CTO / public face), dilution now stepped up by large-scale M&A, and a 10b5-1 sale program running right behind the Iridium announcement.

THE FOUR LEGS

People ●●●●○
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot

Context
The 7 Powers analysis (Power Origination)

Deal
Open-market common — entry price weighed against the probability-weighted fair value (the -38% finding), then position-sized.

Rocket Lab supporting analysis · disclaimers · glossary

Bear $3.42 Base $12.02 Bull $76.90

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Best-capitalized new-space name.**
$1.48B cash + >$2.2B backlog (Q1'26); ATM complete, $474M equity forward committed — the standalone burn is funded. The $355M 2029 convert and the pending $3.6B deal bridge are the debt to watch.

2 **Space Systems is the hidden engine.**
The majority of revenue is components/satellites, not launch — diversified, growing, and sticky (designed-in).

3 **Neutron is optionality, not the whole thesis.**
Even modeling Neutron conservatively, Space Systems alone compounds to a real business.

4 **Reusability could reset the cost curve.**
If Neutron lands reuse economics, the bull launch-share path opens — the single biggest swing factor.

5 **Backlog visibility.**
>$2.2B backlog at Q1'26 (from $1.85B at FY25) plus a record 36 Q1 launch contracts — unusual revenue visibility for a 'young' name.

FALSIFICATION TRIGGERS

Bull validation
Iridium close on terms by mid-2027 · bridge refinanced at sustainable cost · Neutron orbital debut Q4'26 · Q2 print Aug 6

Bear validation
Deal break, or close at the 0.40 collar floor (max dilution) · pro-forma leverage above ~5x net debt/EBITDA at close · Beck's 10b5-1 completes the remaining ~1.7M shares

Reframe needed
At close the combined company (~$1.8B revenue, ~$400M+ EBITDA, real net debt) reads as a mature operating business — re-underwrite it as one the following quarter

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Electron — RKLB's small-lift (~300kg) orbital rocket; the established #2 to SpaceX by launch count.

Neutron — RKLB's reusable medium-lift (~13t) rocket targeting a Q4 2026 first launch; the core bull catalyst.

Space Systems — RKLB's non-launch segment: satellites, star trackers, solar, separation systems, components — the majority of revenue.

Backlog — Contracted future revenue not yet recognized; RKLB's was >$2.2B at Q1'26 (from $1.85B at FY25).

Collared stock (Iridium deal) — Each Iridium share receives $27 cash plus $27 of RKLB stock within a 0.24-0.40 exchange-ratio collar; below $67.50 the 0.40 floor binds — maximum dilution (~44M new shares).

Sales-to-capital (s2c) — Damodaran reinvestment efficiency: incremental revenue per dollar of reinvested capital. Higher = more capital-efficient growth.